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Contents

The Return of Evergreen Funds

Analyzing the performance of interval and tender offer funds

PitchBook is a Morningstar company providing the most comprehensive, most accurate, and hard-to-find data for professionals doing business in the private markets.

Key takeaways

- Wealth-focused evergreen funds have eclipsed $400 billion in net assets, with registered interval and tender offer funds passing $110 billion in 2025, doubling in the past three years.

- While the evergreen fund universe has grown rapidly, it remains highly heterogeneous—both in portfolio construction and return outcomes. Using data from Morningstar, we find that registered interval and tender offer fund returns show meaningful dispersion within and across strategies. Over the 12 months ending in April 2025, the median PE evergreen fund generated a 13.8% return, compared with 7.8% for private debt and 3% for real estate. Given the recent rapid growth of the market, many evergreen funds are largely untested. However, one PE fund in particular offers a cautionary tale.

- Presently, there is no standardized benchmark product for the evergreen fund universe, making it difficult for investors to determine if these structures and/or specific funds are generating worthwhile risk-adjusted returns versus the opportunity set.

- We have developed a preliminary suite of evergreen fund indexes using total return data from the Morningstar evergreen fund universe, which encompasses more than 100 interval and tender offer vehicles and $100 billion in net assets. These indexes enable us to track category-level performance trends across strategies like private credit, real estate, and private equity, while establishing a consistent baseline for peer comparison, performance analysis, and risk-adjusted evaluation. They also allow us to measure the aggregate performance of the semi-liquid fund universe and its subcategories, facilitating more meaningful comparisons with both public market proxies and traditional private capital benchmarks.

A note on terminology: The use of the term "semi-liquid" in this methodology reflects that these vehicles' intermittent liquidity is more restrictive than the daily liquidity offered by mutual funds and exchange-traded funds, for example, but less restrictive than private capital strategies that lock up assets for more significant stretches of time. The language around these structures is somewhat fluid and context-dependent. One may see the terms "evergreen," "perpetual capital," and "semi-liquid" used interchangeably when discussing any funds that allow investors to buy in at periodic intervals, have some provision for intermittent liquidity, and/or have no predetermined end. Such terms may thus apply to heavily regulated structures, such as interval funds, tender offer funds, and European long-term investment funds, but also to comparatively lightly regulated private capital funds that are formed as limited partnerships and that can operate indefinitely, often referred to as "evergreen LPs."

For this analyst note, we focus on interval and tender offer funds within the Morningstar registered fund universe while using "semi-liquid" and "evergreen" interchangeably. Additional fund structures and their returns, terms, and key characteristics will be added to the Morningstar and PitchBook database in the coming quarters.

Introduction

While the buzz surrounding interval funds, tender offer vehicles, perpetually offered nonlisted business development companies (BDCs), and REITs might seem like the cutting edge of private market innovation, the truth is that evergreen structures are far from new. Open-end real estate and timberland funds have existed for decades, serving institutions with long-term capital and a tolerance for illiquidity but without the confines of a 10-year expected life or commitment to an episodic fund series. BDCs and REITs have long straddled the line between public and private formats, and the interval fund construct was originally established by the Securities and Exchange Commission back in 1993. And for the wealth channel, the history of the asset class in evergreen, semi-liquid wrappers dates back to the 2000s with Partners Group's innovative evergreen PE fund offerings. What has changed today is the audience for these funds, how they are distributed, and the level of interest from the private wealth channel in gaining access. That demand has been met by GPs seeking new growth areas given the pullback in traditional private fundraising from the institutional LP community.

Structurally, private market vehicles are being repackaged and recalibrated to meet the growing appetite for alternatives exposure among high-net-worth investors and their financial advisors. The design elements of the fund structures are being adapted for a private wealth audience that increasingly demands access to the return and diversification benefits of private assets but with a user experience closer to that of mutual funds or ETFs.

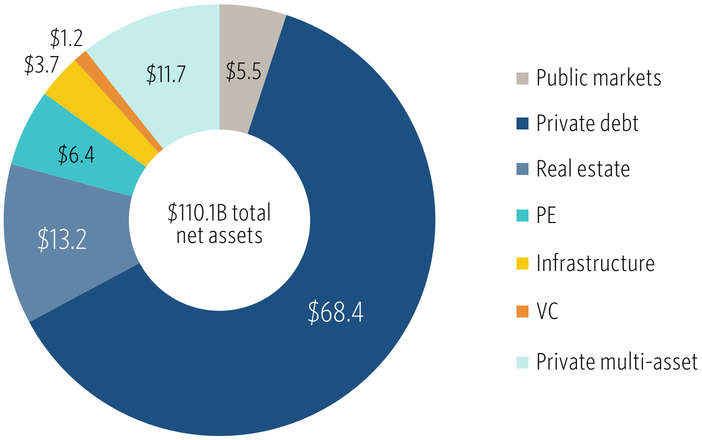
This evolution is not just driven by product innovation but by a fundamental capital markets shift. With a shrinking number of publicly traded companies and higher correlations across public markets,[1] private markets have become increasingly viewed as a new ballast for household portfolios. Plus, the potential to access an "institutional-quality" asset class and capture the elusive illiquidity premium has a compelling allure. Yet the traditional closed-end fund model of illiquidity, capital calls, and complex administration has proven a poor fit for most individual investors outside of the ultra-high-net-worth crowd. Evergreen structures offer a possible solution, albeit with much higher fees than what is found in public markets. They simplify access, smooth the investor experience, and increasingly are allowing the wealth channel to tap into the full private capital stack, from private credit and real estate to private equity and venture capital. Today, we estimate the universe of evergreen private market funds to be approximately $427 billion, with growth accelerating recently. Based on current trends, total assets could surpass $1 trillion within the next five years, driven by continued adoption across wealth platforms, financial advisors, and institutional channels seeking simplified portfolio management and periodic liquidity without sacrificing exposure to private strategies too much.

In this analysis, we leverage available data from the Morningstar Direct platform, focusing specifically on US registered interval and tender offer funds, a rapidly

1: "Beyond 60/40: Private Assets in an Era of High Public Valuations," Apollo Global Management, Matt O'Mara, March 23, 2025.

growing subset of the evergreen universe that has doubled in net asset value (NAV) over the past three years and now exceeds $100 billion. These funds are at the forefront of the evergreen evolution, offering NAV-based pricing, periodic redemption, and diversified private asset exposure in a continuously offered format. While the cohort of funds included in this report falls short of the breadth of available funds out in the market, their readily available returns data and high investor interest offers an interesting starting point for talking about returns within the evergreen fund world. We are in the process of expanding our coverage of the entire evergreen, semi-liquid universe, so readers should stay tuned for further developments. Also, we recommend interested readers check out Morningstar's latest report, The State of Semiliquid Funds 2025.

Share of Morningstar-tracked evergreen fund net assets ($B) by category



Sources: Morningstar and PitchBook • Geography: US • As of April 30, 2025

We have categorized the Morningstar-tracked funds according to their primary asset class offering in order to group constituent funds for more like-for-like comparisons within the universe. It is important to note that these fund portfolios do not have pure exposures to their headline, advertised strategy, but the categories assigned to the funds are based on our best judgment of the dominant exposure targeted by the fund. Further granularity will be added as our categorization and definition practices become crystallized in the future. Private debt funds encompass strategies ranging from collateralized loan obligations and bank loans to asset-based finance and direct lending vehicles. Our private multi-asset category includes funds with meaningful exposure to multiple private asset classes. StepStone's Private Markets Fund is one example.[2] These categorizations are agnostic of the way in which the fund predominantly accesses the underlying asset class, whether it be through direct investment, co-investments, primary fund commitments, or secondaries. In our analysis, we include some breakouts for secondaries-focused funds, though.

2: "Private Wealth Solutions," StepStone Group, n.d., accessed June 24, 2025.

Our objective in creating this analysis is to examine what investors are actually getting in return for their investments and the fees they charge. We evaluate fund performance across private credit, PE, real estate, infrastructure, and multi-asset strategies. We analyze how these funds compare to both public benchmarks and traditional closed-end private funds. However, these funds need appropriate benchmarks to gauge their performance relative to the opportunity set. We introduce initial versions of evergreen indexes to facilitate the evaluation of the aggregate performance of funds across strategies and provide a benchmark for performance comparison. While these indexes are not fully operationalized and available, we welcome feedback from readers regarding their construction and use cases.

As these vehicles become embedded in modern portfolios, their long-term viability will depend not only on access and convenience, but also on their ability to generate returns that justify their growing footprint in the private markets ecosystem.

A limited view of performance

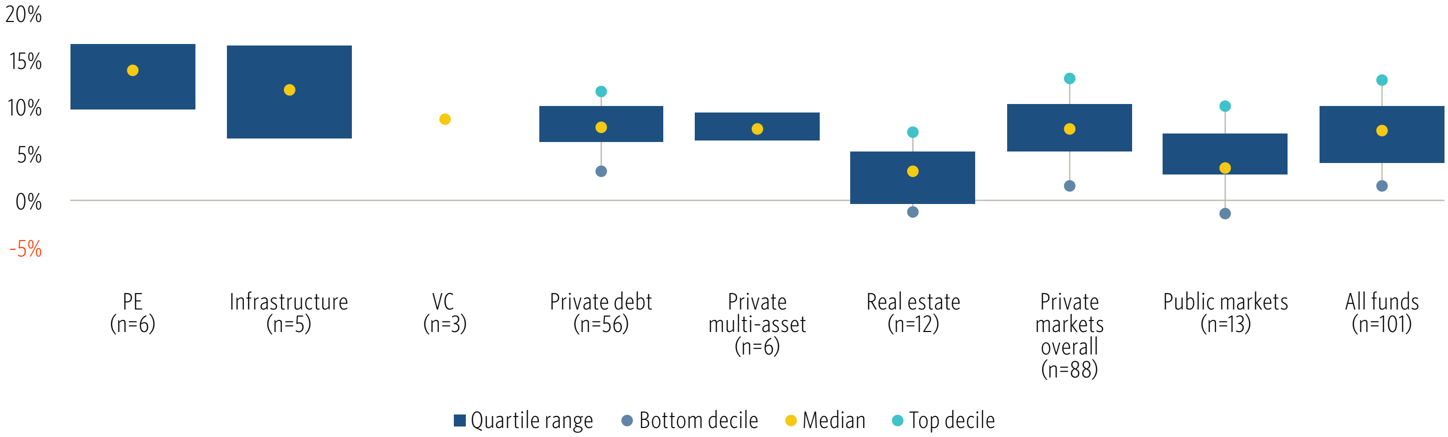
The relatively recent emergence of the evergreen category poses a key limitation: many funds in this analysis have less than five years of performance history, with a sizable portion having less than three. This makes long-term risk-adjusted return assessment—especially across market cycles—difficult. Traditional measures like Sharpe ratios or drawdown analysis are either underpowered or not comparable within fully private fund structures or public markets. Still, much like its closed-end fund counterparts, the evergreen universe has offered a wide range of investor outcomes in the relatively short time horizon that many funds have been around.

Across evergreen fund strategies, the one-year return dispersion through April 2025 reveals both structural differences in return drivers and the growing complexity of the semi-liquid landscape. Private equity and infrastructure funds topped the performance spectrum with high medians and top-quartile returns, reflecting secondary transaction gains. In contrast, categories like real estate and our other bucket of public asset strategies (encompassing bond, equity, and hedge-fund themes) show broader dispersion and more prevalent downside outliers. Multi-asset and private debt strategies clustered in the middle but with meaningful variation, reinforcing that fund construction, asset mix, and flow dynamics materially influence outcomes. These trends underscore that while evergreen wrappers may appear standardized, the return experience is highly heterogeneous, shaped by what is inside the portfolio as much as how the fund is managed. To that point, funds focused on private markets overall had more than 1,000 basis points of return dispersion between the top and bottom decile one-year return.

Additionally, performance smoothing and return front-loading introduce interpretive challenges. NAVs are appraised on an intermittent basis and, much like drawdown fund NAVs, can be subject to significant delay in truly reflecting market value. Funds that acquire fund stakes via secondaries at discounts can also record near-term gains back up to the GPs' NAVs—artificially inflating early returns.[3] The benefits accrue disproportionately to early investors, who enter at a discount. New investors,

3: "The Future Ain't What It Used to Be for These Funds," The Wall Street Journal, Jason Zweig, June 6, 2025.

One-year return dispersion by evergreen fund strategy

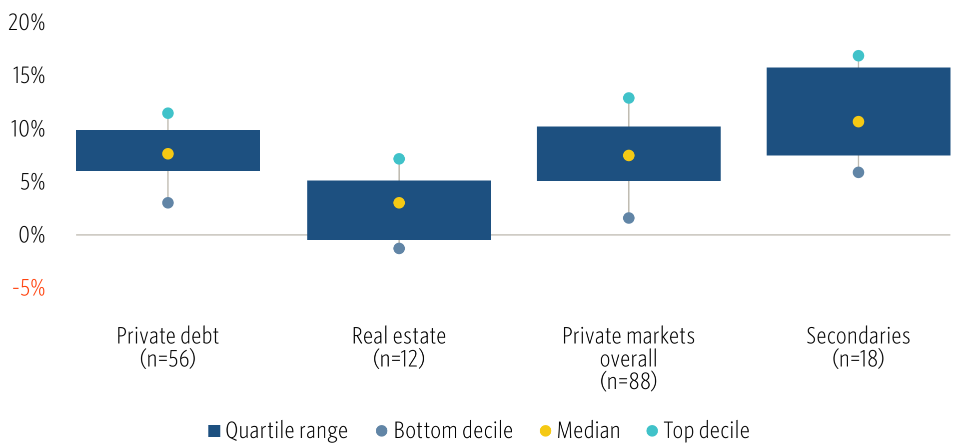


Sources: Morningstar and PitchBook • Geography: US • As of April 30, 2025

by contrast, enter at full NAV, effectively subsidizing prior gains. This can work on paper in an inflow-driven regime, but clearly falters if flows flatline or reverse. Additionally, there are further fees associated with making fund-stake secondaries purchases, and the evergreen fund will assume and pay the ongoing fees and carried interest tied to the underlying fund commitment.

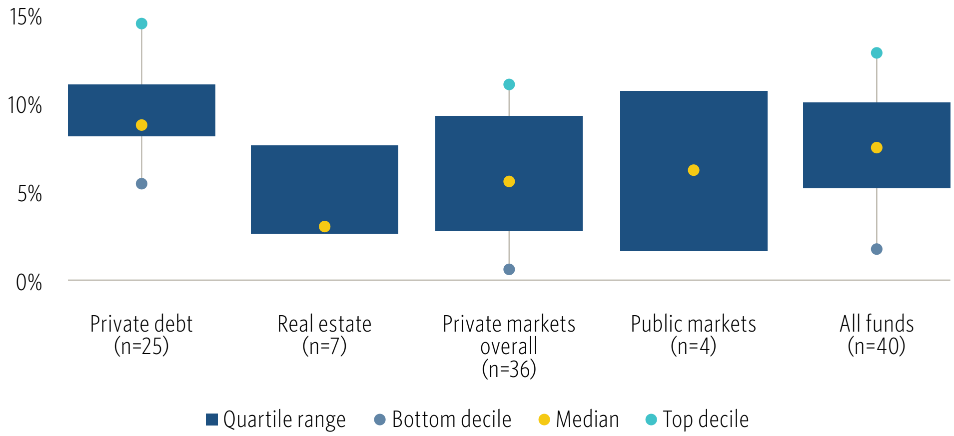
Of late, these secondaries-focused strategies have drawn strong inflows due to the allure of attractive paper gains. Over the year ending April 30, 2025, evergreen funds with predominantly secondaries-focused strategies have returned 10.8% at the median and 17% for the top-decile. Cliffwater's recently acquired Cascade Private Capital Fund has led this cohort with returns of about 22% for the 12-month period ending in April. That has handily outpaced the overall median private markets evergreen fund, which returned 7.6%, and even beat the top-decile of 12.9% across all private markets evergreen funds. This secondaries-oriented approach is more common across PE, VC, infrastructure, and private multi-asset funds given the need for ensuring income generation and shallower J curves while achieving more scaled diversification in underlying assets. However, investors should be skeptical that

One-year return dispersion by select evergreen fund strategy



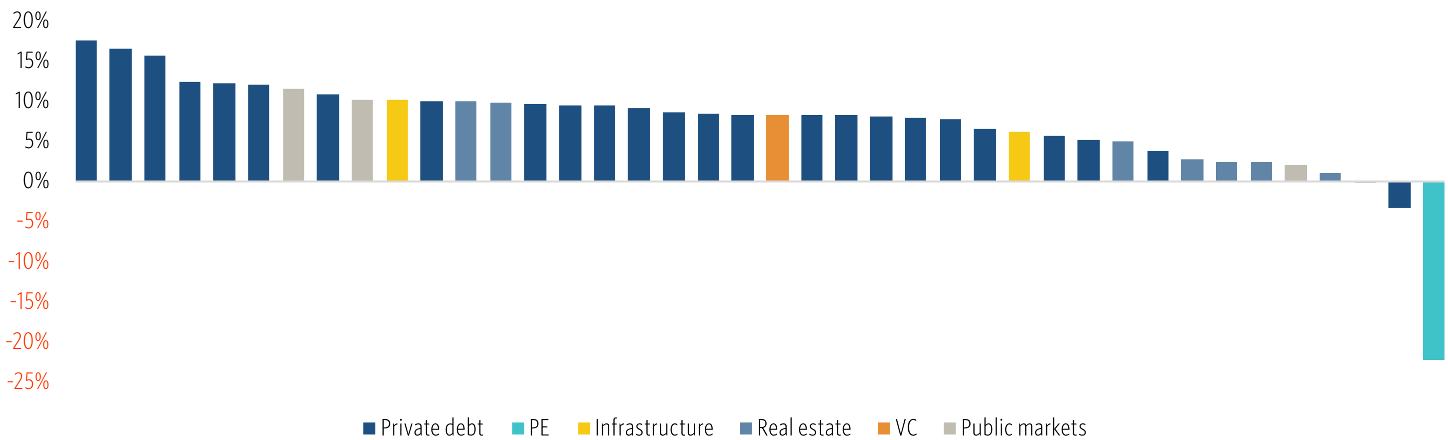
Sources: Morningstar and PitchBook • Geography: US • As of April 30, 2025 these returns are sustainable over long periods of time. Case in point, secondaries-focused funds tracked with performance over the past three years have only generated 6.7% in returns at the top quartile, which has trailed the median private-debt-focused evergreen fund, not to mention many headline public equity indexes.

Five-year return dispersion by evergreen fund strategy



Sources: Morningstar and PitchBook • Geography: US • As of April 30, 2025

Five-year annualized return of individual evergreen funds

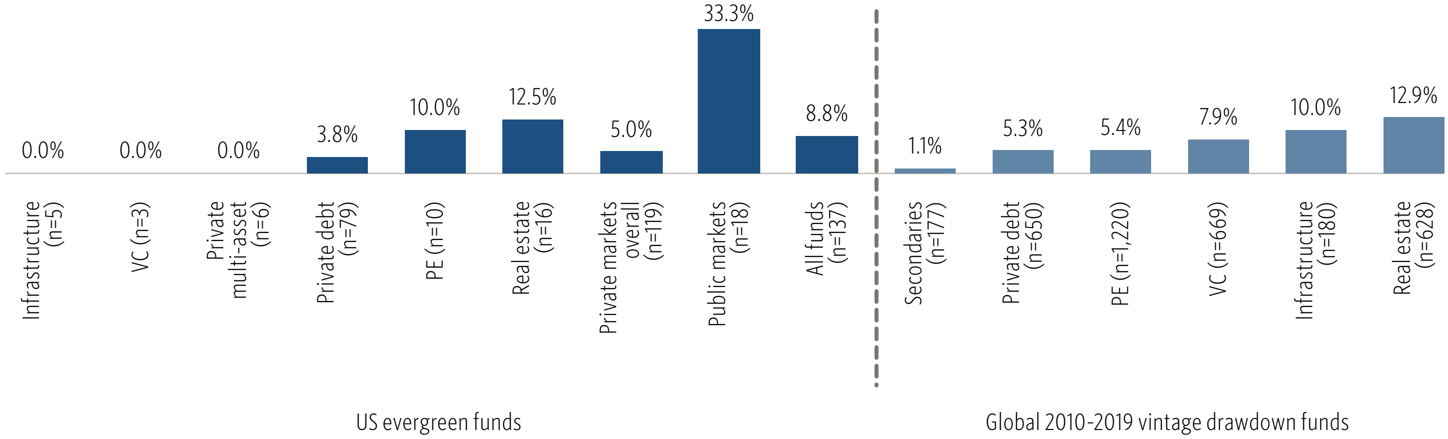


Sources: Morningstar and PitchBook • Geography: US • As of April 30, 2025

Zooming out to the past five years, the data available becomes more limited, so we focus in on the most common private market strategies available with enough history—those in credit and real estate strategies. With what we have tracked, it is clear that investors in evergreen funds have generally experienced a wide range of outcomes and should expect the same over longer-term time frames. The data suggests that credit funds have had better luck in generating positive returns since 2020, while real estate has been a laggard.

Among private market evergreen funds launched since 2010, public-asset-focused strategies, along with real estate funds, have had some notable underperformers. Real estate in particular has had a loss incidence of about 12.5%, in line with the 12.3% of global closed-end real estate funds between the 2010 and 2019 vintages

Share of funds with negative returns since inception



Sources: Morningstar and PitchBook • Geography: Global • As of April 30, 2025

Note: Data only includes funds with a minimum one-year return history. Drawdown fund data is current as of September 30, 2024.

that have generated negative net IRRs since their inception. Across all funds in our cohort, nearly 9% of evergreen funds launched have experienced negative returns since their inception, and some have shut down entirely or have shifted management. On the positive side, private credit strategies have shown a much lower incidence of loss at about 5% so far, which is about on par with closed-end private debt funds among the 2010 to 2019 vintage cohort globally. However, across the board, evergreen funds in large part have remained untested during periods of significant economic dislocation. With the limited history of evergreen PE, VC, infrastructure, and multi-asset strategies, we expect there to be more losers as we track returns over the medium-to-long term. For these strategies, the potential for liquidity mismatch is high, making the evaluation of portfolio and management quality paramount.

As a case study, the Wildermuth Fund—the worst performing fund in our five-year return chart—illustrates how evergreen wrappers can break down when liquidity dries up, investor flows reverse, and underlying portfolios prove difficult to monetize. Launched in 2017 as an interval fund with exposure to private equity and peaking at nearly $200 million in assets in 2020, Wildermuth was placed into liquidation in mid-2023 after sustained outflows, a string of negative returns, and the loss of its regulated investment company status.[4] Share purchases and redemptions were suspended, and the original advisor and board resigned. BW Asset Management (a Kroll subsidiary) was appointed to oversee the winding down of the fund, managing a portfolio of largely illiquid fund stakes and private equity positions.

Since then, the fund has suffered sharp NAV write-downs and has delayed investor distributions until at least late 2025. A deep-discount tender offer reflected investor desperation for liquidity.[5] The case highlights how evergreen funds can leave investors trapped when liquidity terms collide with market stress and poor performance. It underscores the need for careful scrutiny of investment quality, fund flows, and the durability of structural protections in semi-liquid fund design.

4: "About Us," Wildermuth Fund, n.d., accessed June 24, 2025.
5: "Wildermuth Fund Liquidation," The White Law Group, December 1, 2023.

Benchmarking returns

One of the most persistent challenges in evaluating evergreen fund returns is the absence of a standardized benchmark framework. Much like traditional closed-end private capital vehicles, semi-liquid funds operate in a space where conventional benchmarking methods often fall short, and managers have wide latitude in selecting their own comparison points. However, benchmarking is key to understanding and evaluating the investment decisions that allocators make, whether it be to choose public versus private markets, select evergreen funds versus other structures, or select particular evergreen funds against the opportunity set available. So, it is important to consider some options available.

In practice, many evergreen fund managers reference public market proxies—such as the Russell 2000 Index, the MSCI All Country World Index, leveraged loan indexes, or even Treasury bills—as a way to contextualize performance. While these comparisons may provide familiar signposts for investors, they are rarely representative of the risk profile, liquidity structure, or underlying assets that define private market evergreen funds. Public benchmarks are typically more liquid, more volatile, and composed of assets that do not map cleanly to private credit, real estate, or private equity portfolios. However, public proxies are valuable to understanding whether a decision to invest in private markets through these structures was worth the complexity and headache.

Another option could be to borrow from the drawdown world and use a vintage-year comparison, in which a fund's performance from when an investor entered the vehicle is evaluated against the returns of funds that began investing in the same calendar period. While vintage benchmarking can help assess relative timing and cycle positioning, it is often an awkward fit for evergreen structures, where time-weighted returns (TWRs) are the primary metric rather than IRR. Comparing IRR-based benchmarks with TWR results introduces methodological problems, especially when flows, fee drag, and reinvestment assumptions vary substantially. There are a multitude of ways to evaluate a portfolio when benchmarking returns of money-weighted drawdown funds versus those of time-weighted liquid products. This will be an important exercise as allocators determine whether lower-complexity evergreen wrappers are getting results comparable to longer-term drawdown funds.

An alternative approach is to consider private capital index products. At PitchBook, we maintain a suite of private market indexes, which tracks quarterly NAV-based returns using cash flow data from closed-end, drawdown funds. This provides a more strategy-aligned performance reference for private market evergreen funds in a time-weighted fashion. However, important limitations remain. Most notably, these drawdown-based indexes do not include cash drag, a key feature in evergreen vehicles that must remain partially liquid to meet redemption demands. In addition, the investment pacing, portfolio composition, and investability in closed-end funds differ meaningfully from the dynamics in continuously offered vehicles. This complexity is compounded in multi-asset evergreen funds and those with exposure to a blend of direct investments, secondaries, co-investments, and fund commitments, making apples-to-apples benchmarking with either public or private indexes problematic.

Given these challenges, we advocate for investors to consider an index product that uses peer groups of similar evergreen funds to anchor performance comparisons by strategy, structure, and portfolio characteristics. To support this, we have developed a preliminary suite of evergreen fund indexes, leveraging total return data from the Morningstar evergreen universe. These indexes allow us to assess category-level performance trends—whether in private credit, real estate, or multi-asset categories—and provide a baseline for performance attribution, peer comparison, and risk-adjusted return evaluation. They also allow us to evaluate the aggregate performance of the semi-liquid universe and various underlying strategies for asset class return comparisons. While nascent and with limited history, the rapid expansion of the fund universe necessitates a suite of index products built to contextualize performance for this next evolution of financial markets.

To generate the suite of indexes, we incorporated a few guidelines to systematically build the return histories:

- Each index cohort includes a minimum of five funds.
- We use Class I shares or whichever share class is available when a fund only has one.
- A maximum fund weight of 20%, based on total net assets.
- A minimum of $25 million in total net assets per fund.
- Quarterly rebalancing.
- To be included, a fund must have a minimum of three months of returns history prior to the rebalance date.

Based on that inclusion criteria, we have constructed evergreen total return indexes by including 111 individual funds totaling over $101 billion in net assets as of the end of April 2025. Of that cohort, funds focused on private capital total 95 funds and $97 billion in assets. With available returns data, we can build a performance history of the included funds going back to 2014, though for individual substrategy indexes like private debt, private equity, infrastructure, and real estate, inception dates are determined by enough eligible funds entering our tracked universe. Note, the secondaries grouping encompasses funds across private asset classes that leverage fund secondaries to a large extent to construct the portfolio. These funds overlap with the corresponding private capital asset class (private equity, venture capital, infrastructure, and so on).

With aggregate indexes constructed, it becomes straightforward to visualize and compare fund performance trends for the universe of evergreen funds and the funds making up underlying strategies across the private markets. Our evergreen indexes can be used to benchmark individual fund performances within their respective strategy categories, enabling more relevant hurdles than broad public or drawdown-based measures.

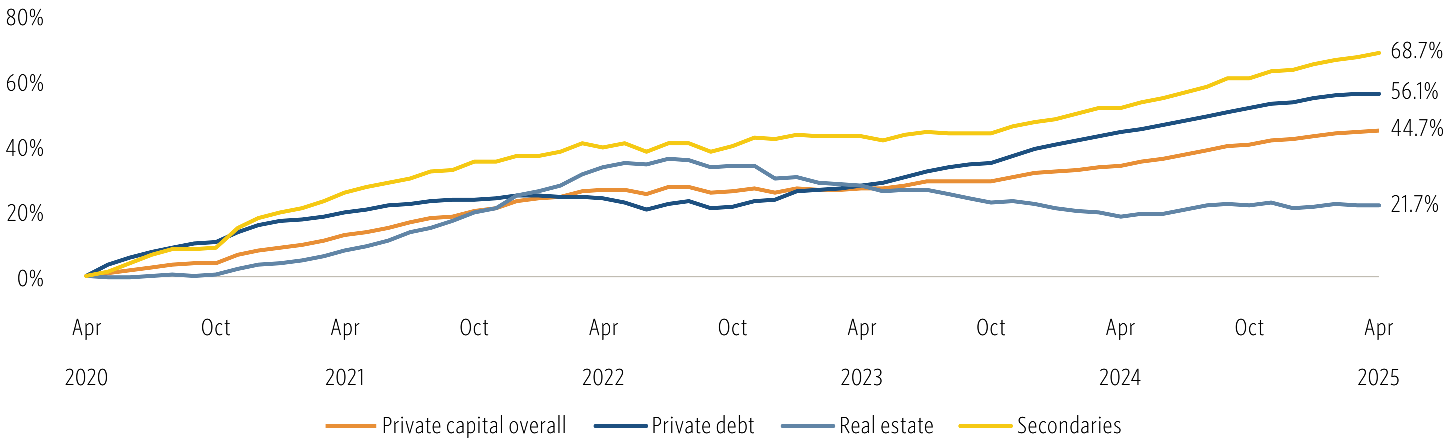
While our preliminary suite of evergreen fund indexes is not operationalized and available for clients, fund returns data is available via the Morningstar Direct platform and will be added to the PitchBook Platform in the coming quarters. A full list of wealth-focused evergreen funds tracked by PitchBook is available in our Access Points Analyst Workspace.

Preliminary evergreen fund indexes

	Start date	Current fund count	Net assets ($B)	Annualized return since inception
All funds	August 1, 2013	111	$101.8	5.4%
Private capital overall	February 1, 2014	95	$97.1	5.5%
Private debt	May 1, 2014	62	$63.7	5.2%
Real estate	February 1, 2018	12	$13.2	4.0%
Infrastructure	February 1, 2024	5	$3.8	10.1%
Private equity	May 1, 2024	8	$6.3	11.1%
Multi-asset	February 1, 2025	5	$8.9	8.8%
Secondaries	November 1, 2019	22	$20.2	8.4%

Sources: Morningstar and PitchBook • Geography: US • As of April 30, 2025

Five-year returns of select evergreen fund indexes



Sources: Morningstar and PitchBook • Geography: US • As of April 30, 2025

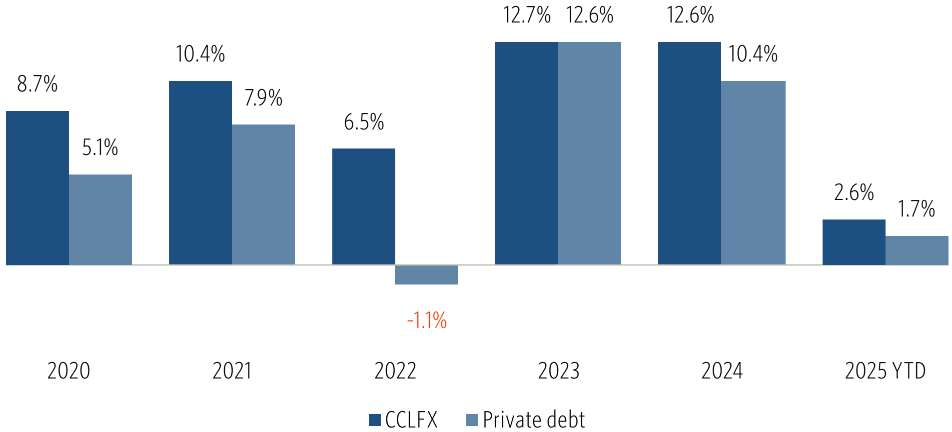
Take for example the Cliffwater Corporate Lending Fund (CCLFX), which is the largest interval fund in our universe at nearly $30 billion in net assets and offers a private direct lending strategy to investors. So far, it has matched or exceeded the returns of its benchmark evergreen private debt index since full-year returns were available, resulting in nearly 25 percentage points of outperformance since the start of 2020 versus the overall basket of its private debt peers.[6]

In addition to fund benchmarks, the evergreen fund indexes can also serve as a reference point for evaluating returns relative to public market proxies.

Evergreen funds focused on private credit, for example, have performed strongly relative to leveraged loan and high-yield bond indexes across one-year, three-year, five-year, and 10-year timeframes, reinforcing their appeal as income-generating

6: It is important to note that Cliffwater is the largest component of the index given its size, but its weight is capped at 20% per the stated index specifications.

CCLFX performance versus evergreen private debt index



Sources: Morningstar and PitchBook • Geography: US • As of April 30, 2025

allocations in a semi-liquid format. Conversely, real estate evergreen funds have underperformed their public market counterparts. Strategies centered on fund secondaries have delivered double-digit annualized returns over the five years ending April 2025, performing competitively with public equities. However, as mentioned earlier, much of this performance reflects a structural dynamic: Some funds have acquired secondary positions at NAV discounts only to revalue them upward based on GP marks, effectively front-loading returns. While impactful in the short term, this mechanism depends heavily on continued inflows and favorable pricing conditions, which may not persist indefinitely.

Annualized total returns of select indexes

		1-year	3-year	5-year	10-year
Evergreen funds	All funds	7.8%	4.5%	7.6%	5.5%
	Private capital overall	8.0%	4.5%	7.7%	5.6%
	Private debt	8.3%	8.0%	9.3%	5.4%
	Real estate	2.6%	-3.1%	4.0%	N/A
	Secondaries	11.1%	6.5%	11.0%	N/A
	Infrastructure	9.9%	N/A	N/A	N/A
	Private equity	11.1%	N/A	N/A	N/A
Public markets	S&P 500	12.1%	12.2%	15.6%	12.3%
	Russell 2000 Index	0.9%	3.3%	9.9%	6.3%
	Real estate	16.6%	-0.6%	7.4%	5.3%
	High-yield bonds	8.7%	6.2%	6.4%	4.9%
	Leveraged loans	6.2%	7.1%	8.0%	4.9%

Sources: Morningstar and PitchBook • Geography: US • As of April 30, 2025

Note: The public market real estate index is the Morningstar US Real Estate index, the high-yield bonds index is the Morningstar US High-Yield Bond index, and the leveraged loans index is the Morningstar LSTA US Leveraged Loan index.

As the evergreen fund universe continues to expand, so too does the need to understand not only how these vehicles have performed, but also how they are likely to perform going forward. Benchmarking plays a central role in this effort. Without a clear, consistent framework to contextualize a fund's performance relative to its peers, public markets, and private market equivalents, allocators are left without the tools needed to fully evaluate the value, risk, and role of these funds in portfolio construction.

This matters not just at the individual fund level, but also for the trajectory of the entire category. If evergreen funds fail to deliver on their core objective of providing private market access with competitive risk-adjusted returns and a user-friendly experience, growth will slow, as seen already in the real estate segment, where fundraising momentum has cooled amid valuation pressures and underperformance. To sustain allocator confidence and drive thoughtful adoption, the market needs a rules-based, standardized suite of benchmarks that offer transparent and more like-for-like comparisons across asset classes and structures. We believe this is foundational to the next stage of evergreen fund evolution and we will continue to expand our data offerings and research coverage to help build that infrastructure.